



Issuers of Securities

Central, state, local Governments & PSU's

- **Bonds** are issued for raising funds for large infrastructure projects.
- They are also issued to ensure various Banks, Provident Funds and other public institutions can maintain RBI-mandated debt/liquid reserves
- Retail investors can buy some of these bonds, but it is rare

Central & State

- Issue G-Sec's to raise funds or refund maturing securities
- Mostly bought by Banks to maintain statutory Liquidity Ratio (SLR) as mandated by RBI
- Or by FI's to maintain liquid reserves e.g., 80%

Local

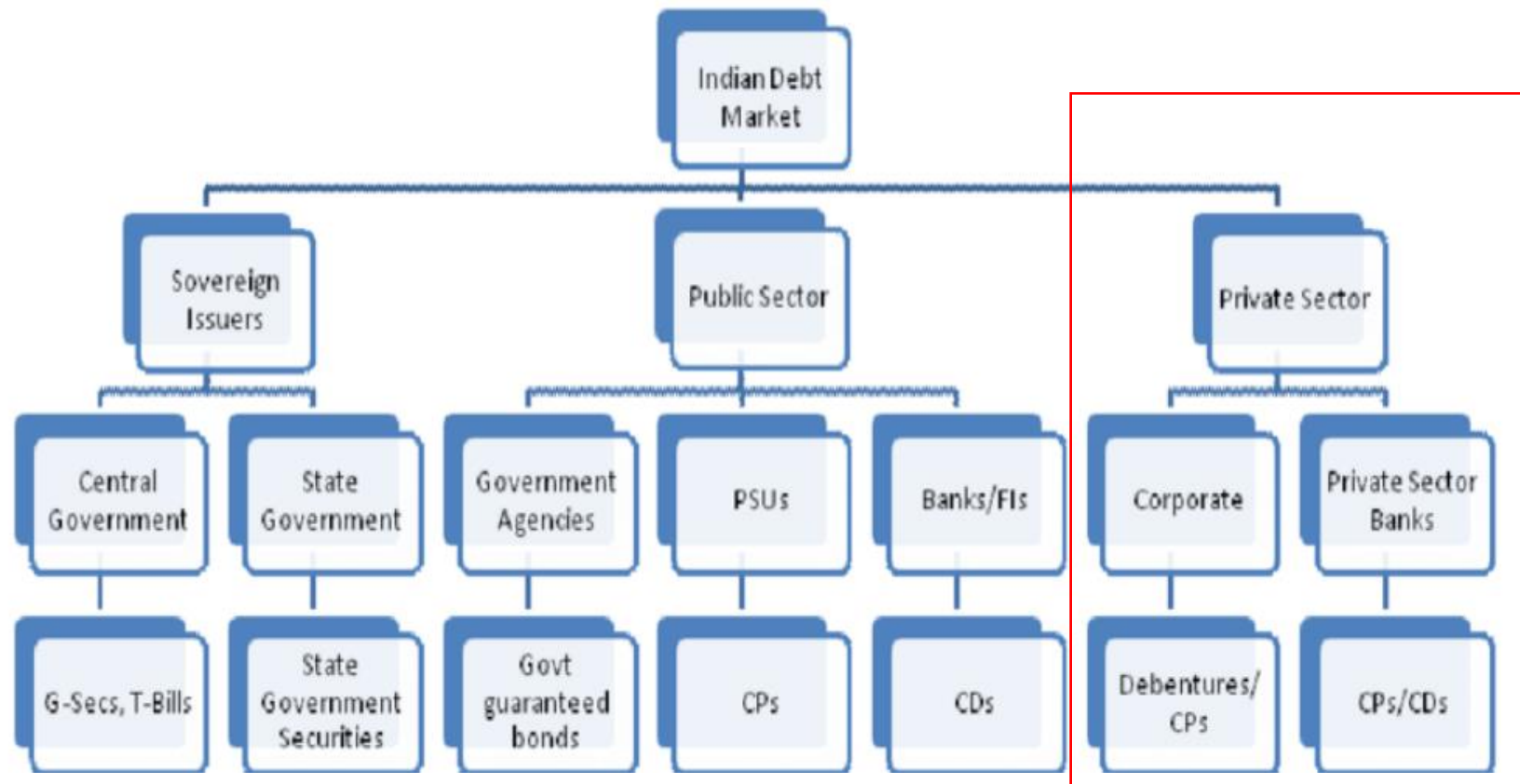
- Municipal bonds are offered by local governments
- Used to fund local infra projects
- Not very prevalent in India, although they offer higher returns than G-Secs

PSU's

- Privately issue bonds for large projects
- Backed by the central government
- Issued to targeted investors at market determined interest rates.

Private Sector companies

- Private companies can **issue shares** to its existing shareholders by way of rights issue or by way of giving them bonus shares or it can issue securities through private placements.
- They **also issue debentures** (debt instruments) as shown below



Banks, NBFCs and Financial Institutions

- Banks and Non- Banking Financial Companies (NBFCs) are the two major types of financial intermediaries in any financial system.
 - These include commercial banks, private banks, credit unions, savings, and loans associations, investment banks, pension funds, etc.
- Governed by RBI
- Banks contribute via
 - Bringing in savings (savings account, FD's etc)
 - Providing loans, credits cards etc
 - Participating in financial markets (buying govt. bonds, own IPO etc)
- NBFC's contributes via
 - Providing specialized services (e.g. home loans, pension funds etc)
 - Participating in financial markets (investing income, own IPO etc)



Indian Financial Markets

1. Money market

- No physical presence
- Regulated by RBI
- Provides **liquidity** (short term debt)

2. Capital market

- Physical & online
- Regulated by MoF, SEBI, RBI
- Enable **IPO** listing (**Primary market**)
- Enables **trading** of equity, debt (**Secondary market** e.g., Stock exchanges)

3. Currency market

- Online worldwide market
- Regulated by RBI & SEBI
- Allows currency trading (via Stock exchanges' online platforms)

Money market

Money market instruments in India

Treasury bill (T-Bill)

- auctioned by the RBI on behalf of the Central Government
- bear no risk at all, are **zero-coupon** in nature
- issued for varying maturities of 91 days, 182 days & 364 days

Cert. of Deposit (CD)

- issued by banks
- provide a fixed interest rate & have a specific maturity period **up to 5 years**
- bear higher risk & offer higher interest rate than T-bills

Commercial paper (CP)

- promissory note issued by financial institutions, corporates etc
- offer higher interest as they are not secured by collaterals
- issued for periods of **less than one year**

Repurchase agreement

- Secured and collateralized agreement between two parties
- borrower sells securities to the lender and must repurchase them at a specific rate & date in the future

Capital markets: Primary

Primary capital market in India: Role & Functions

- a place for the new (or existing) companies to **raise capital from investors**.
- where securities are created by firms selling (floating) new offer to the public for the first time.

Underwriting Services

- help companies issue and register securities
- guarantees to subscribe to all unsold securities in event of under-subscription

New Issue Offer

- organizes **offers** of a new issue that had not been traded on any other exchange earlier.
- involves a detailed assessment of project viability, among other factors.

Origination

- the work of investigation & analysis & processing of new proposals
- Specialist agencies perform these functions which act as sponsors of the issue.

Distribution of new issue

- new issue is **distributed** in a primary market with a new prospectus issue.
- It invites the public at large to buy a new issue

Primary capital market in India: Participants

Issuer	Underwriter	Lead Manager	Registrar to the issue	Banker to the issue
Companies, governments, or other entities that sell new securities to raise capital	Investment banks that help price and sell new securities, and guarantee to buy any unsold securities	- design & finalize the offer document, prospectus, advertising and fulfil all formalities - also called Book Running Lead Managers	specialize in processing the bids of investors in the IPO, including collection, issue and refunds as needed	carries out all the activities of ensuring that the funds are collected and transferred to the Escrow accounts

Primary capital market in India: Types of issue

Types of Issues

Public Issue

Initial Public Offer (IPO)

the **first public issue** of the shares of a private company that is going public

Follow-on Public Offer (FPO)

second or subsequent issue by an already listed public company

Right Issue

Offer to existing shareholders to buy additional shares directly from the company

Bonus Issue

shares given to all existing shareholders **free of cost** in proportion to the shares they hold

Private placement

Preferential allotment

issue of shares to a **select group of investors**

Qualified institutional placement

private sale by a listed company to institutional buyers, with easier regulatory compliance

Institutional placement program

a further public offer to institutional buyers, requiring a prospectus

Primary capital market in India: Pricing of IPO

1. Fixed Price Issue

- A *Fixed Price Issue* is an Initial Public Offering (IPO) where the issuer at the outset decides the issue price mentions it in the offer document.
- The price band within which the securities are offered & would be allotted is made known in advance to the investors.
- Demand for the securities offered is known only after the closure of the issue & 50% of the shares offered are reserved for applications below Rs. 2 lakh & the balance for higher amount applications.

2. Book Built Issue

- In a *Book Built Issue*, the price of an issue is discovered based on-dem& received from the prospective investors at various price levels.
- The price at which securities will be offered/allotted is not known in advance to the investor. Only an indicative price range is known.
- Demand for the securities offered can be known every day as the book is built & payment is received only after the allocation made.

Primary capital market in India: IPO conditions (SEBI)

Either meets the following

1. In **all of the 3 preceding years**
 - Min. 3 Cr. of net tangible assets each year, with monetary assets < 50%
 - pre-issue net worth of at least Rs 1 crore
2. **At least 3 of last 5 years** had profit, which can be distributed
3. **Issue size lower than 5 times** its pre-issue net worth.

Or else meets both the following

1. **Book-building process** be used & at least 50% allotted to QIP's,
2. **Or** FI participation of at least 15% in a project (of which at least 10% comes from an appraiser) **and** at least 10% allotted to QIBs
 - **and** Rs. 10 crores should be the minimum face value capital of the Company after issue **or** a compulsory market-making for at least 2 years.

Primary capital market in India: FPO conditions (SEBI)

Listed Companies (FPO & Offer for Sale)

- Before making a further public offer/Offer for Sale, the issuer shall file three copies of the draft offer document with the concerned regional office of SEBI under the jurisdiction of which the registered office of the issuer company is located, by Schedule IV, along with fees as specified in Schedule III, through the lead manager(s)

Offer for Sale

- After the consulting board of directors, some members can offer whole or a part of their shareholdings to the public.
- The offer document for this purpose should comply with the prospectus requirements as this document is deemed to be a prospectus.
- Any expenditure incurred will be reimbursed to the company by the member.
- Further, the dividends incurred on these offered shares shall be payable to the transferees.

- The debt market is an avenue for Indian Corporates for public issue of debt securities which include the **issuance of Non-Convertible Bonds / Debentures**.
- These may be issued by Corporates, Financial Institution, & Public Sector Unit.
- **SEBI regulations** prescribe that all public issues of Debt Securities are required to be listed on one or more recognized Stock Exchanges.
- **Modes of Public Issue** of Debt Securities:
 - Self – Certified Syndicate Banks
 - Intermediaries (RTA's, Depositories etc.)
 - Stock Exchange (App, Web interface or UPI)

Capital markets: Secondary

Secondary Market: Benefits

After the issuing of securities (shares & bonds) in the primary market, **exchanges** (or bourses) become the secondary market for trading in securities. They attract many traders, reducing liquidity risk.

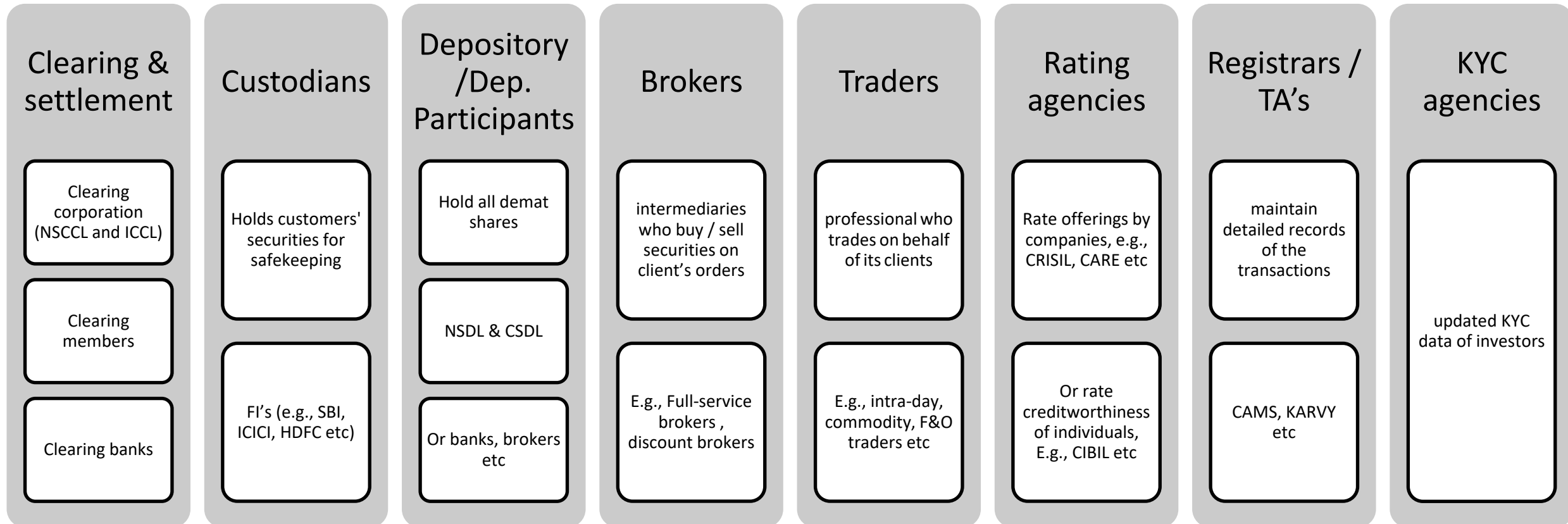
Benefits of Secondary Market:

Protects Investors	Due diligence of listed companies
Facilitates Govt. debt	enables the government to raise public debt
Healthy Speculation	well-monitored & regulated speculation
Facilitates Liquidity	Trading in short-term securities
Evaluation of Securities	Shows price and allows comparisons
Encourages Capital Formation	Through rights or bonus issue
Serves as an Economic Barometer	Shows health of market & economy
Mobilizes Savings	through mutual funds, investment trusts etc

Secondary Market: Exchange Infrastructure

After the issuing of securities (shares & bonds) in the primary market, **exchanges** (or bourses) become the secondary market for trading in securities. They attract many traders, reducing liquidity risk.

Exchanges are characterized by the following infrastructure



- Established in 1875, (formerly known as Bombay Stock Exchange Ltd)
- In 2013, established strategic partnership with S&P
- In 2017 become the 1st listed stock exchange of India.
- Publishes numerous indices, under the S&P BSE name, e.g., S&P BSE Sensex, 100, 500
- Most of the BSE indices employ a float-adjusted, market capitalization-weighting scheme, using the divisor methodology based on S&P Dow Jones Indices' equity indices
- Formula: $\text{Index} = [\sum_j (P_j S_j IWF_j)] / \text{Divisor}$
- where
 - P_j is the price of stock j ,
 - S_j is the total shares outstanding of stock j and
 - IWF_j is the investable weight factor.
 - The divisor is the index divisor, where 1978-79 is taken as base year and base value $100 = 25041.24 \text{ Cr}$

Bombay Stock Exchange: SENSEX

- SENSEX is coined from Sensitive and Index and is the most popular BSE index
 - It comprises of the 30 largest and most actively traded stocks on the BSE,
 - It uses the **Free-float market capitalization method** relative to a base period
-
- It is calculated as follows
 1. Select the 30 constituent companies
 - Must be listed on BSE, large to mega-cap stock, relatively liquid, with their revenue generated from core activities, and from sectors aligned to the Indian equity market
 2. Calculate free float market capitalization of each of these 30 stocks
= price x # of shares issued x IWF
 3. Determine current value of Sensex =
$$\frac{\text{Total free-float market cap} \times 100}{25041.24 \text{ Cr}}$$

- The NSE commenced in 1994 and is India's largest financial market
- The NSE supports 2,500 Very Small Aperture Terminals (VSATs), making it the largest private wide-area network in India.
- First to provide fully automated electronic trading and electronic limit order book to trade derivatives and ETFs.
- Its most popular NIFTY 50 index tracks 50 companies spread across multiple sectors
- It also uses float-adjusted, market capitalization-weighting approach, with the following differences
 - Base year is 1995, base value = 1000, which stands at Rs. 206,000 Cr
 - Hence, NIFTY 50 =
$$\frac{\text{Total free-float market cap} \times 1000}{206,000 \text{ Cr}}$$

The level of precision for index calculation

- Shares outstanding are expressed in units
- Investible weight factors (IWFs) are expressed in two decimals
- Float-adjusted market capitalization is stated to two decimal places
- Index values are disseminated up to two decimal places



Investment products

1. Mutual Funds in India

Indian MF's can be categorized as follows

Based on structure	Open-ended	Allows daily buying/ selling on NAV. Fund can issue any number of units, based on demand
	Close-ended	Allows purchase only during NFO window Has a defined maturity
	Interval	Open for buying during specified 'open' windows Rest of time behaves like a closed fund
Based on asset class	Equity funds	Can be Large Cap (Top 100 Co's), Mid Cap (101-250), Small Cap (250+) etc
	Income / Debt funds	Can be further segregated into Accrual, Liquid, Short-term funds etc
	Hybrid	Combines equity and debt, e.g.80%:20% (aggressive) or 20%:80% (conservative)

2. REITs / InvIT's in India

SEBI allows both REIT's and InvIT's, which work similar to Mutual Funds. They are aimed at increasing investments in projects like shopping malls, hospitals, hotels and infrastructure (**residential properties are not allowed**)

REIT

Design

Pooled money invested only in minimum 2 **Commercial projects**. Listed on exchanges, and issued via an IPO

Returns

Capital gains from sale of property is paid to investors as dividend income. 90% is paid out. Dividend is tax exempt

InvIT

Design

Invest pooled money in **Infrastructure** projects.

Returns

Provide a small portion of the income as return
Capital gains is taxable, for residents & Non-residents both

3. Alternative investment funds (AIF)

Are financial assets with **high threshold investment of at least Rs 1 crore**. Are subscribed to by **institutional investors or accredited, high-net-worth individuals** because of their complex nature, and degree of risk.

AIF Cat. 1

Funds that invest in Startups, Small and Medium Enterprises (SMEs), and new businesses which have high growth potential
The government promotes and incentivizes investment in these projects

AIF Cat. 2

Funds invested in assets that do now fall under Category 1 or Category 3.
Include private equity and private debt.

AIF Cat. 3

Funds are invested in Fedge Funds and Debt Funds
Excluded from regulation 3 and 3A of SEBI regulation 1992

4. Equity markets

In addition to Capital markets, a small percentage of equities are also **traded in Over-the-counter markets (OTC)**, i.e., outside exchanges. These markets are informal networks of brokers, dealers and investors who trade between themselves. This is an unregulated market and exposed to associated risks.

Regulated market has the following holding pattern

Participants	Retail/ HNI's	HNI's are those with net worth > \$1 million (excluding value of consumables & residence). Account for <10% of market
	MF's & Domestic Institutional investors	Institutional investors include banks, insurance companies etc Collectively account for ~20% of equity market
	Foreign portfolio investors	Include both short term hedge funds and long term portfolio and insurance Collectively account for ~ 20% of the equity market
	Promoters (Private, government)	Account for ~50% of the market President of India holds promoter shares of PSU's. Private include Indian and foreign promoters

Depending on their approach, participants are generally classified as **Investors**, **Speculators** and **Arbitrageurs**. A participant can simultaneously play all three roles i.e.

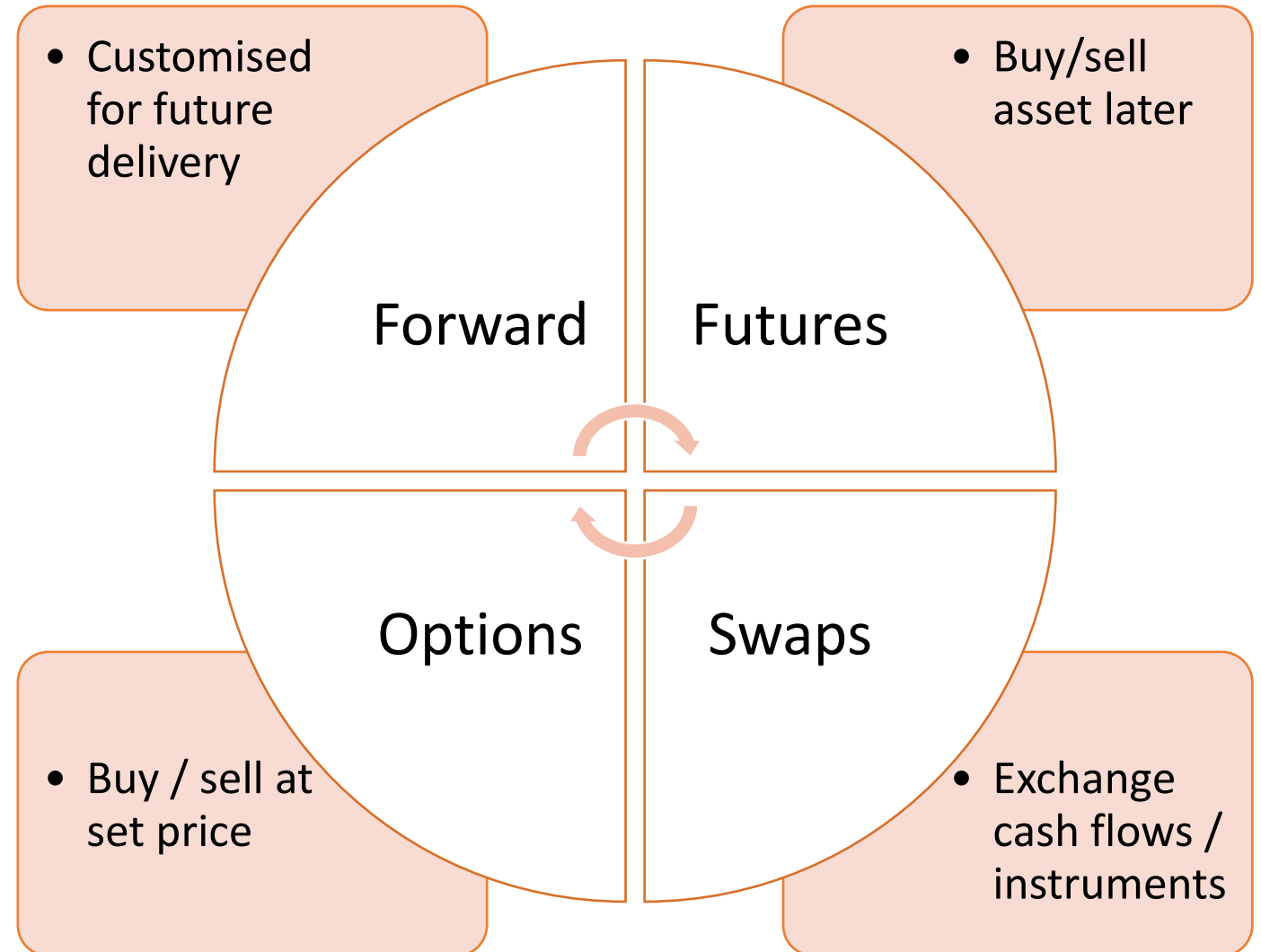
1. can buy shares of one company with objective of making a long-term investment, generally in which case he is called as an investor (his action = investment);
2. trade in the stock with a view to gain from the volatility in the short term, in which case he is called a speculator (his action = speculation); and
3. trade in the same stock in two different markets and benefit from the momentary price differences, in which case he is called an arbitrageur (his action = arbitraging).

A high promoter stake is generally positive, as it shows promoter confidence.

- An increase in promoter shareholding is an indication of the increased confidence of the promoter in the business growth.
- A decrease in promoter holding must be studied carefully but not immediately looked upon as a negative for the business or the company.
- a well-diversified shareholding pattern indicates promoter freedom is somewhat constrained.

5. Equity Derivatives Market

- Derivatives are based on underlying assets such as equity, bonds, commodities, currencies, metals, gold, index's etc.
- In 2000, SEBI permitted the exchanges BSE & NSE to launch equity derivatives
- RBI is responsible for regulating all interest rate, forex, and credit derivatives, including OTC derivatives.
- Nevertheless, there is a large unregulated OTC market in India



The OTC derivatives markets have the following features compared to exchange traded derivatives.

- **Counterparty (credit) risk is decentralized** and located within individual institution.
- There are **no formal centralized limits** on individual positions, leverage, or margining
- There are **no formal rules for risk and burden-sharing**
- There are no formal rules for ensuring market stability and safeguarding the collective interests of market participants,
- The OTC contracts are not regulated by a regulatory authority and the exchange's self-regulatory organization, although they are affected indirectly by national legal systems, banking supervision and market surveillance.

Some of the features of OTC derivatives markets embody risks to financial market stability.

- i. the dynamic nature of gross credit exposures
- ii. information asymmetries
- iii. the effects of OTC derivative activities on available aggregate credit
- iv. the high concentration of OTC derivative activities in major institutions; and
- v. the central role of OTC derivatives markets in the global financial system.

Sample trade

Price today = 100 = **Spot price**

You expect price in 1 month to be 110 = **Future Price**

You buy 50 options = **Lot** size with **Expiry date** = + 30 days

Contract value = $100 * 50 = 5000$

You and the seller both deposit 10% of this, i.e., 500 today = **Margin Money**

15 days later, price is 105, so you gained $5 * 50 = 250$

Your margin account has 750 now. Seller lost 250, so has to top up 250 = **Mark to Market**

Future pricing

1. Cost of carry method = Spot price + (Carry cost – Carry return)

2. Expectancy method: Based on expectation of spot and future prices

Derivatives: Options

Index options (have index as underlying).
Stock Options (have stock as underlying) etc

Spot price (S) is the price at which the underlying trades in the spot market.

Strike price or Exercise price (X) is the price per share for which the underlying is bought or sold.

Option Premium = Intrinsic Value + Time Value
(& paid by buyer)

Only **In the money** options have intrinsic value. On- or Out have 0 intrinsic value.

Intrinsic Value of a Call
 $= S - X$
Intrinsic Value of a Put
 $= X - S$

Value of an Option calculated using either **Binomial Pricing Model** or **Black-Scholes Model**

Hedgers, Arbitrageurs, Speculators

Index futures vs Index Options vs Index Funds

INDEX FUTURES

- Index futures have a future level or index and an expiry date (settlement date).
- While dealing in index futures, margins are paid, per traded lot size basis, to the exchange by the seller as well as the buyer to enter a futures contract.
- Index futures have ample liquidity with much lower trading costs
- They have marked-to-market mechanism whereby an individual would be required to bring in more cash if the margins fall short on day-to-day basis due to adverse direction of the market than the intended one.

INDEX OPTIONS

- Index options are another form of derivatives which give the buyer of option the right, but not the obligation
- Like index futures, index options can also be used to either bet on the directional movement of markets or hedging market exposures
- Like index futures, index options are also exchange settled in cash.
- The costs in index futures are less than index options as the options premium cost a little more for the buyer at a reduced risk

INDEX FUNDS/ ETF's

- Offered by MF's
- The subsequent levels of index fund price are represented by the net asset value (NAV) which closely corresponds to the underlying index level (rise/fall)
- While an index fund can be bought or sold at the closing level of index on a certain trade date, ETFs can be traded at intra-day levels.
- The risk managed is fund manager risk, both on the up and down sides, while the market risk also applies on index funds and ETFs.

6. Debt markets

Debt markets are larger globally and in India than any other securities market. India has one of the largest debt markets in Asia

Categories	Government bonds	Issued by the central and state governments to fund the fiscal deficit. E.g., G-Sec's (by RBI) and T-bills (to raise short term debt)
	Corporate bonds	Corporate bonds, debentures, public sector unit (PSU) bonds, and financial institution bonds
Markets	Primary	New debt securities are first issued and sold here directly to buyers. Once sold, the primary market is closed.
	Secondary (OTC)	the resale market, begins after primary market closes. Here, investors buy and sell already-issued debt securities
	Money market	Short term debt is raised and traded here

Secondary market divided into **Wholesale** and **Retail** markets

Banks, FI's and foreign entities participate in the Wholesale market

Money market has 3 segments: Overnight (1 day), Notice (2-14 days) and Term (15-365 days)

repo and **reverse repo** transactions occur between the commercial banks and the central bank

Corporate debt instruments include CP's, CD's, FD's, Bonds, Debentures

G-Secs and T-Bills are **sold via auctions** at fixed intervals by RBI

7. Commodities markets

Are vital for an economy.

Commodity derivative Exchanges are subject to SCRA, SECC Regulations 2012 and SEBI circulars

Post 2015 crisis, SEBI given full authority of commodity markets. Earlier were subject to Forwards Contract act, 1952

Six commodity exchanges (MCX, NCDEX, NMCE etc), post 2018, BSE and NSE also allowed to trade.

Permitted derivatives need to be homogeneous, durable and storable, with large and well distributed physical market

Commodities with no Govt. price control or strong global correlation or seasonality tend to be more conducive to trading.

Agri commodities are categorized as Sensitive, Broad and Narrow. Non-agri have no such classification.

Exchanges and settlement agencies have clear regulations and responsibilities.

Exchanges monitor the open position on a real time basis

They impose initial margins sufficient to cover its potential future exposure to participants

All open positions of a futures contract would be settled daily, only in cash, based on the Daily Settlement Price (DSP).

Daily mark to market and final settlement shall be cash settled by debit/ credit of the clearing accounts of clearing members

Theoretical daily settlement price for unexpired futures contracts

$$F = S * e^{rt}$$

Final Settlement Price (FSP) logic varies, e.g. polling for metals, BFOE for Brent, LME for Crude, DGCX for Energy

8. Forex markets

Significant liberalization has happened, and RBI closely regulates this space

Liberalised vide FERA(1993) and later FEMA (1999)

Single market determined exchange rate system based on demand supply exists, replacing earlier LERMS (1992)

RBI issues licenses to banks and FI's to trade in global markets

Can hedge via forwards and options, currency swaps as also cost reduction option structures in the OTC market.

RBI also allows Rupee-foreign currency swaps, foreign currency- Rupee options, cross- currency options, interest rate swaps and currency swaps, forward rate agreements and currency futures.

NSE, BSE, MCX allowed to trade Exchange-traded currency futures. RBI and SEBI jointly regulate this.

Three concepts that require calculation are as follows

Theoretical daily
settlement price for
unexpired futures
contracts

$$F_0 = S_0 e^{(r-r_f)T}$$

Simple compounding
price of future

$$f(0,T)_{X/Y} = S_{0,X/Y} ((1+r_X)/(1+r_Y))^T$$

Continuous
compounding

$$f(0,T)_{X/Y} = (S_{0,X/Y} e^{-r_Y T}) e^{r_X T}$$

Interest Rate Parity

$$F = S * ((1+i_a)/(1+i_b))$$

9. RE, Gold and collectibles markets

Can be invested in directly via OTC markets, or via exchange traded securities.

Real estate	Direct investment	Commercial, residential, hospitality Various risks and entry barriers
	REIT/InvIT	Commercial, Infrastructure Exchange-traded, so risks are lower
Gold	Direct purchase	Jewellery, Bars, Bullion etc Associated OTC risks
	Exchange traded	Sovereign Gold Bonds, Gold Funds, Gold ETF's (Mutual Funds)
Collectibles	Direct purchase	Risks relating to age, wear and tear, liquidity etc Also supply demand not necessarily limited to own country



Operational aspects of investing

KYC/ FATCA requirements

Investing in mutual funds and other securities require KYC. Post India signing the Foreign Account Tax Complaint Act with US, all FI's need to additionally disclose incomes of US tax residents, clients with financial dealing with US etc

Individual

- Name
- Mobile/ Email
- Proof of Address
- Proof of Identity
- PAN

- FATCA form

HUF

- Karta Name followed by HUF
- Mobile/ Email
- Proof of Address
- Proof of Identity
- PAN of HUF and Karta
- List of coparceners
- Details of Karta (Ultimate Beneficiary owner)
- Bank pass-book (HUF account)

- FATCA form

NRI's: Require special bank accounts

As per the Foreign Exchange Management Act (FEMA) guidelines, an NRI cannot have a savings account in his or her name in India. These need to be converted to the following for money earned abroad

Non-Resident External Account (NRE)

- Deposited FOREX is converted to INR
- used by NRI's for carrying out banking and investments in India
- Unlimited repatriation
- Interest is tax free
- Joint account only if both are NRI's

Non-Resident Ordinary Rupee (NRO)

- Allows you to receive funds in Indian or Foreign currency
- Used by Indian's working abroad
- Limited repatriation (\$1m)
- Taxable, subject to DTAA
- Joint account with Indian resident (close relative)

Foreign Currency Non-Resident (FCNR)

- Allows you to save money earned overseas in Foreign Currency
- Only term deposits are allowed (1 to 5 yr maturity)
- Interest is tax free (if NRI status is maintained)

NRI investment options / FEMA & PMLA

Any NRI with NRO/NRE account can invest in several asset classes, subject to FEMA/PMLA guidelines

Equity / MF's: Under Portfolio Investment Scheme (PIS) of RBI.
Taxable same as a resident

NPS/ PPF: NRI holding Indian citizenship can invest via NRO/NRE accounts.

Real Estate: Can purchase residential or commercial property **but not agricultural land**. Sale of property in India & repatriation is subject to FEMA

Bonds: Allowed. If done through NRE / FCNC account, repatriation to country of resident is easy.

CD's: Allowed but on **repatriable basis**

FEMA:

NRI (NRI with Indian passport) and **PIO** (NRI with foreign passport).

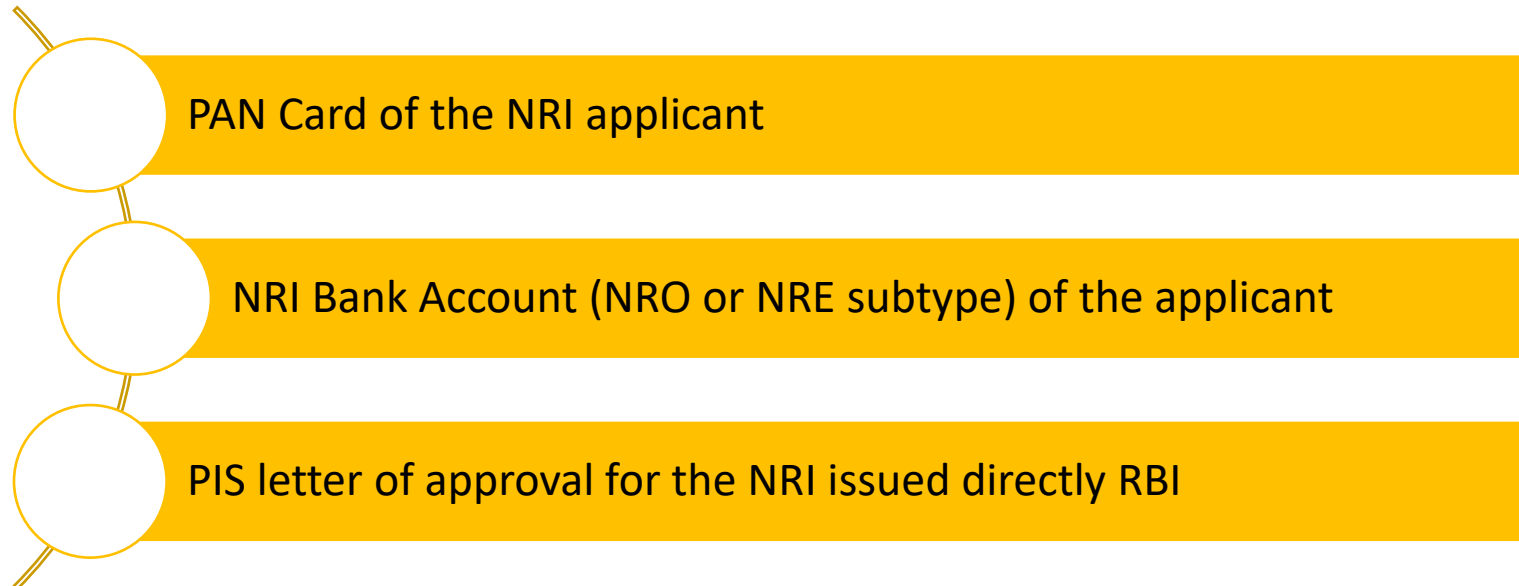
Resident of India (>182 days)

PMLA:

NRI funds must come via bank remittance or from NRE/NRO/FCNR account
& proprietor / partner in India not engaged in agri / RE

Demat requirement

- It is **mandatory** to trade with a Demat account in India, **whether you are a resident or non-resident**.
- An **NRI Demat** attracts opening fee, Annual maintenance charges, Debit transaction charges and broker fees
- There is a limit to the number of shares that can be sold by NRIs.
- There exists a restriction or repatriation up to a maximum of USD 1 million during a calendar year.
- **NRIs** should have the following in hand or completed:



Power of Attorney & NRI's

- NRIs may find it useful as they may not be physical present to execute a lot of routine legal documents related to their assets in India when they are abroad.
- There are two kinds of power of attorney as per Power of Attorney Act of 1822, viz., "General Power of Attorney" and "Special (or limited) Power of Attorney".
- A **durable Power of Attorney** is effective immediately after one signs it (unless stated otherwise), and allows the appointed agent to continue acting on one's behalf in case the principal becomes incapacitated.
- **Special Power of Attorney:** A special power of attorney is one by which a person is appointed by the principal to do some specified act or acts.
- A **bank mandate, or account signatory**, is a person in your business who is authorized to manage your bank account. Most banks offer a broad range of options dependent on whether you are a business or commercial banking customer.

Managing account folios: Nominations

A registered and valid nomination allows a nominee to access the investments of a deceased investor
One can nominate up to three individuals (including NRI) with shares of each nominee specified in the nomination form.
Following are features of valid nomination:

The statement of account should highlight the need to nominate if the account does not have the nomination.

The nomination should be maintained at the folio level and apply to all investments in the folio

Where a folio has joint holders, all joint holders should sign the request for nomination/ cancellation of the nomination. The nomination form cannot be signed by Power of attorney (POA) holders.

Every new nomination for a folio/account will overwrite the existing nomination.

The nomination shall be mandatory for new folios/accounts opened by individuals especially with sole holding and no new folios/accounts for individuals in single holding should be opened without nomination.

Even those investors who do not wish to nominate must sign separately confirming their non-intention to nominate.

The nomination form should also have a provision for the signature of the nominee (or guardian), though this may not be mandatory.

Managing account folios: Consolidation, transmission, lien

Consolidation

- Merging of multiple folios from a single Mutual Fund house
- Requires
 1. same holder / pattern / holding mode
 2. same tax status (RI/NRI etc)
 3. same details (PAN, signature etc)

Transmission

- transferring to a surviving member in case of an untimely demise
- Can be to another surviving holder(s) / nominee / claimant (in case of no surviving holder or nominee)

Lien

- Right given to the lender over a security to recover the money in case the credit given to the borrower is not repaid
- In the case of loan against mutual funds, the lien is marked by the lender on the units offered as security.

Managing account folios: Change in residence status

Minor to Major

- MF's send a notice to guardian in advance (based on age as per KYC with the MF)
- Guardian needs to submit provided documents, including updated KYC of minor
- Ownership & tax liabilities shift to new Major

NRI to RI

- All NRI accounts (e.g., NRE, NRO, demat, trading account) need to be closer
- Corresponding domestic accounts need to be created, and balances transferred
- Statutory documents like KYC need to be updated with MF's etc.

RI to NRI

- Rules relating to NRI investments become applicable.

PMMLA, PSS and payment systems in India

All **payment systems** are subject to Payment and Settlement Systems Act, **2007** (PSS) and Payment and Settlement Systems Regulations, **2008**

Only RBI can authorize payment system operators, who can then offer pre-paid payment instruments, cards, cross-border in-bound money transfers, ATM networks and centralized clearing arrangements.

Prevention of Money Laundering Act has resulted in several physical and digital being introduced for better monitoring of fund flow

Cheque payment: RBI has introduced MICR technology and Positive Pay System (PPS) to improve cheque monitoring

Digital payment systems: Credit and debit cards, Internet banking, Unified Payment Interface (UPI) for mobiles, pre-paid cards, Point-of-sale (POS) machines, Online transactions

Electronic payments: Electronic Clearing System (ECS), National Electronic Funds Transfer (NEFT), Real Time Gross Settlement (RTGS)

Dividends



Stock Splits (or Consolidation)

No_shares (Pre-Split)	Face Value	Investment Value (Prior)	Split Ratio	New Face Value	No_shares Post-Split	Investment Value (Post)
100	100	10,000	5:1	20	500	10,000
400	25	10,000	5:4	20	500	10,000

Bonus issue

Prior to issue of Bonus shares				After issue of Bonus shares		
Shares outstanding	Market Price	Market Capitalization	Bonus terms	Shares outstanding	Expected Market Price	Market Capitalization
10,000,000	700	7,000,000,000	1:2	15,000,000	467	7,005,000,000

Buy Back of Shares

A buyback can be seen as a company's method to invest by buying shares from other investors in the market. Buybacks reduce the number of shares outstanding in the market to expand the business and grow or reduce its liability by paying back/reducing its borrowings or distributing to the shareholders.

Delisting of Shares

Delisting of shares refers to the permanent removal of the shares of a company from being listed on a stock exchange. Delisting may be compulsory or voluntary.

Mergers & Acquisitions

corporate actions that result in a change in the ownership structure of the companies involved, leading to

- **Synergy**: Each company may have distinct efficiencies that when combined may result in greater economic benefits.
- **Increased revenue and market share**: can result in increased revenue and market share for the acquiring entity.
- **Geographical or other diversification**: may offer a significant competitive advantage to the acquirer.
- **Taxation**: buy a loss-making company to enjoy a tax shield against the losses of the target company.

Direct investing (SEBI guidelines / demat)

Anyone looking to invest in India needs to be aware of dematerialization and how it works

SEBI mandated 2019 as the last date after which the physical shares of listed companies would need to be **necessarily dematerialized** before their sale or transfer

At the very root of dematerialization of securities are **two depositories**, the National Securities Depository Ltd (**NSDL**) and the Central Depository Services India Ltd (**CDSL**).

NSDL and CDSL in turn have **depository participants (DP)**, who are banks, stockbrokers, NBFC's, registrar and transfer agents, etc.

DPs maintain investor holdings, **related to both depositories, NSDL and CDSL**

All equity shares, bonds and debentures, as well as derivative products are held by DPs on behalf of investors in electronic form.

DPs receive requests from investors to dematerialize securities held in physical form. The reverse of the process is called re- materialization.

Risk Management Safeguards in the Secondary Market

Capital Adequacy

- Members need to **maintain deposits with the Exchange** which is used to determine the member's intra-day trading limit and gross exposure limit.
- **Requires** net worth of Rs. 1 crore and security deposit of Rs. 1.25 crore and collateral security deposit of Rs. 0.25 crore
- **Online Position Monitoring System (OPMS)** = keeps track of all trades by a member vis-a-vis capital adequacy.

Margins and Settlement Guarantee Mechanism

- **Daily settlement** by Clearing Corporation with help of banks and depositories
- NSCCL imposes **stringent margin requirements** by categorizing traded stocks
 - Group 1: traded on 80% days in last 18 months, and impact cost $\leq 1\%$
 - Group 2: traded on 80% days in last 18 mths, but impact cost $> 1\%$
 - Group 3: all other

Price monitoring, Bands, Circuit breakers

- **Price surveillance** is done to minimize undue impact of market participants, and escalated to Investigation Cell
- **Price bands** are upper / lower limits set at a stock level, beyond which orders are not accepted on that stock. Limits can be **+/- 2%, 5%, 10%, 20%, or no limit**
- **Circuit breakers** are limits set on Sensex & Nifty that halt all trading.
- SEBI allows **regulator** to audit any company

Mutual Fund operations: Regulatory framework

As per SEBI (MF) Regulations, 1996, **each MF must have a Sponsor** (with sound track record, history of fairness and financial integrity etc)

Trustee company / Trustees (appointed by Sponsor, holds all assets of the MF, and appoints AMC, Compliance officer, AMC directors)

Asset Management Company (AMC)
(approved by SEBI, member of AMFI, manages all schemes)

Compliance officer
(SEBI & audit)

Appoints **directors**
on the AMC board

**Sponsor: At least
40% holding of AMC,
at least 50 Cr**

CEO of AMC

Appoints dedicated
Fund Manager

Appoints **Registrars
and Transfer Agents**

Mutual Fund operations: Participation

Investors are solicited by launching schemes which are approved by the trustees and a copy of their offer document is filed with SEBI.

Offer document includes:
Scheme Info document (SID): Goal, asset mix, strategy, risks
Statement of Additional Info (SAI): Info about the sponsor

Abridged version:
Key Information Memorandum (KIM): Summary of key points, must be updated once / year

New Fund Offerings (**NFO's**) offer units at par, usually INR 10.
Each scheme has a **dividend** plan and a **growth** plan option

Net Asset Value (NAV) is the performance barometer of a mutual fund scheme.
NAV = Assets - Liabilities
per-share NAV = $\text{NAV} / \# \text{ shares}$

Systematic Investment Plan (SIP) regular investments
Systematic Withdrawal Plan (SWP) regular withdrawals
Systematic Transfer Plan (STP) regular transfer between funds

Mutual Fund operations: Product mix

Equity Funds

Have minimum 65% equity assets

Can be themed (e.g., Bank, FMCG etc)

Hybrid or Arbitrage Funds

Most tend to maintain 65% in equity to keep equity classification for tax benefit purposes

Debt Funds

Have < 65% in equity assets

Monthly Income Schemes
Have 10-30% in equity.

Liquid / Money-Mkt Funds (MMMMF)

bonds with maturity below 90 days (mandated)

Index / ETF's

Linked to stock index

Fund of Funds (FoF)

Invest in other MF's, can be a mix of various types of MF's

Mutual Fund operations: Direct / Via distributors

Direct from AMC/MF

SEBI mandates **direct plan purchase to be cheaper** by the amount equal to distribution commission

Investing via RIA's

RIAs are SEBI-registered advisors, and **should be used in conjunction** with any of the direct routes

Investing via Distributors

MF **distributors (MFD's)**, get paid commission from MF. No extra fee is payable by investor to MFD

Direct from Exchanges

SEBI allows exchanges to sell direct to consumer, has a small cost advantage over MFD;s

Direct from Platform

CAMS, Karvy offer direct access to multiple MF's listed on their platforms

Direct from Robo Advisors

Automated solutions based on statistical algorithms with almost no human intervention.

Mutual Fund operations: Tax & disclosures

Tax on Dividend

TDS if payout >INR 5000 p.a. at scheme level

Gross dividend taxed as per investor's tax bracket

Capital Gains Tax (Equity MF)

Applicable at time of redemption only.

ST tax if held <1 year @15.6%,
LT Tax if held > 1 year @10.4%

Capital Gains Tax (All other)

Applicable at time of redemption only.

If held <3 years @ tax bracket
If held > 3 year, @20.8%

Concept: Indexation

Recalculation of purchase price of an asset to factor in inflation over the holding period. Results in **real capital gain that is taxable**

Disclosures from MF's

1. Ongoing KIM's
2. Periodic account statements
3. Annual accounts statements

Portfolio Management Service (PMS): Structure

As defined by SEBI, a PMS provider is a body corporate, who provides advisory services based on a contract with the client

Principal Officer (professionally qualified in Finance, Law, Accounting, Management or CFA, + NISM certifications and 5 years in securities, of which 2 years in fund management or PMS)

Must have a **personal net worth** always maintained **at minimum 5 Cr**

Compliance officer (SEBI & audit and customer grievance handling)

At least one other person (graduate with 2 years experience in securities market)

PMS: Service requirements

Agreement & Disclosure

Each client of a PMS must have a contract specifying period, provisions, objectives.

Also, PM has to disclose all fees, conflict of interest etc

Fiduciary Capacity

PM must serve the client in a fiduciary capacity.

Discretionary/ Non-discretionary

Defines whether the portfolio manager will independently manage funds or act as directed by client

Quantum of investment

PM cannot accept clients with less than 50 Lacs of funds or securities to invest

Segregation of funds

Funds of each client must be segregated

Investment restrictions

Cannot borrow / lend client funds. Can only invest in listed securities and if non-discretionary, up to 25% in unlisted. All MF's have to be direct, no badla etc

Annual Fee

On average, annual fee of 2 to 2.5% for small portfolios. Can go as low as 0% or 0.5% for larger portfolios.

Variable fees

Typically, are 20% of upside. Various approaches exist to define this upside, i.e., hurdle, catch-up etc

1. Hurdle

Minimum threshold that must be achieved for any variable.
E.g., 1 Cr with hurdle of 10%, means incentive post 1.1 Cr

2. Catch-up

Clause relating to how much of the upside will attract variable.

Full catchup = Paid on total gain

Partial: Lower below hurdle, higher post hurdle

No catchup = Paid on gain over hurdle

3. High watermark

Resets the base to the highest value achieved in any preceding year.

E.g., 1.1, 0.95 and 1.04 Cr were corpus in last 3 years. Watermark is 1.1. Cr, i.e., no variable in yr 2 and 3

Growth in AIF's

Has grown at 30% from about 121 AIF's in 2014 to 758 as of 2021

Launching an AIF

Must have a minimum corpus of 20Cr. Manager must invest lower of 5 Cr or 2.5% of the fund value. Cat 1 and 2 are close ended, 3 can be either.

Participating in an AIF

RI or NRI can participate, with a minimum investment of 1 Cr. Cannot have more than 1000 participants

Allowed investments

Private equity, hedge funds, real estate, managed F&O, art and collectibles etc

Disallowed investments

Mutual funds, Collective Investment Schemes, family trusts, ESOP trusts, and any other pool of funds regulated by Indian regulators

Operating AIF's

Operated in a similar manner to PMS, with AUM's and fees payable

Definition

Are securities which a company is finding difficult to services

Nature of company

Usually these are companies that are close to bankruptcy. These companies need a lifeline to revive..

Diversification benefit

Distressed assets tend to show little correlation with either equity or debt markets and attendant risks

Potential for returns

Such companies are targets for restructure & turnaround, more so if they are in a sector that is expecting an upswing

Asset reconstruction companies

Specialize in identifying and doing due-diligence of such companies prior to purchase of such assets

High risk high return

Investors need to be willing to take risk till a successful turnaround is achieved



Small Savings Schemes & Instruments with **Sovereign Guarantee**

Introduction

- Savings Schemes are investment options launched by the government as well as other public sector financial institutions as **an incentive to cultivate healthy saving and investing habits** in India.
- This is **also a way to increase the inflow of money into the Indian economy**.
- Mentioned below are the various small savings scheme available:



Public Provident Fund (PPF) Scheme

Public Provident Fund
Act, 1968

Government-backed,
long-term retirement
savings option

Available to **resident
Indians** or **minors** (who
have a resident Indian
guardian).

PPF holder who
becomes an NRI can
continue the account,
or prematurely close it.

Can be opened at any
**nationalized public and
private sector bank** or
with a **post office**.

Minimum deposit
amount is **Rs.500/-** and
maximum amount is
Rs.1,50,000/- in a
financial year.

Lock in for 15 years,
and can be extended
for another **5 year
block** with/without
further contribution

Interim withdrawals up
to 50% can be made
from 6th financial year
onwards @ once per
year

Loans @1% interest on
up to 25% of PPF
balance can be availed
from **3rd financial year
up to 6th financial year**

PPF enjoys the **E-E-E tax
benefits** (initial
investment, interest
earned, withdrawal)

PPF is **non-transferable
on death**, hence
nominee needs to
withdraw amount.

Sukanya Samriddhi Yojana

notified by a **Central Government gazette notification** dated 2nd December 2014.

Opened in name of girl child by the natural or legal guardian anytime between child's birth up to age of 10 years

Can be opened in **Post Office or branch of authorized banks.**

Minimum deposit
Rs.250/-

Consequent deposits in multiple of 100 up to maximum **Rs.1,50,000/-** per year.

Interest is **7.6% as of 2021**, credited at year end and compounded annually.

Girl child **can operate account at age 10**, deposits can be made by guardian or any other person

Matures after 21 years from date of opening **or on marriage** of account holder whichever is earlier.

One withdrawal allowed at age 18 to meet education expenses up to 50 % of the account balance

Prematurely closure only in case of death or extreme compassionate ground e.g., life-threatening diseases

National Savings Certificate (VIII Issue)

Notified in 1989 vide
Government Savings
Certificates Act, 1959

Open to all individuals,
joint individuals and
minors (supported by
guardians)

HUF's, NRI's, Trusts,
Companies are **not
allowed**

Denominations are Rs.
100, Rs. 500, Rs.1,000,
Rs.5,000, Rs.10,000

eligible for **section 80C
tax benefit** in the
financial year of
purchase

issued by **post offices,
public sector banks
and select private
sector banks.**

Can be **transferred after
1 year** by authority of
the postmaster or the
concerned post office

**Withdrawal only on
maturity**

launched by the Central Government on 1st April, 1988.

saving instrument for **individual savers** distributed through post offices

doubles the money invested in a certain period

operating features of KVP mostly correspond with those of NSC-VIII series certificates

minimum investment is Rs. 1,000 and in multiples of Rs. 100 thereafter, with **no upper limit**

to prevent money laundering, PAN card needed if >Rs. 50,000, and evidence of income if >Rs. 10,00,000

Interest **@ 6.9%** as of 2021

Post Office Monthly Income Scheme

saving instrument for
minors, guardians,
individuals, up to 3 joint
holders

5-year tenure @ 6.6%
p.a.

opened with a
minimum of Rs 1000
and a **1-year lock-in**

Limit for minor 3 lacs,
individual 4.5 lacs and
joint account 9.0 lacs

Withdrawal between 1
and 3 years incurs **2%**
principal deduction, and
between 3 to 5 years,
1% deduction

On death prior to
maturity, account
closed and paid to legal
heirs

Senior Citizens Savings Scheme

sovereign guaranteed
monthly income
scheme for senior
citizens above **60 years**

Eligibility is age >60 **or**
else >55 and retired
under superannuation

5-year tenure, can be
extended once for 3
years more

Interest accrues **@7.4%**,
payable quarterly

Each SCSS account can
have Rs1000 to Rs
15,00,000 **deposited as**
one shot

Additional deposit
requires a new account

qualifies for deduction
under section 80C, but
interest taxable as per
slab

Closure within a year
attracts strict penalty,
thereafter 1.5% post 1st
year, and 1% post 2nd
year

Sovereign Gold Bonds

Alternative to physical gold, issued by the Reserve Bank of India on behalf of the Government of India

Eligibility is individuals, HUFs, trusts, universities and charitable institutions

Minimum investment is 1 gram, and maximum is 4 kg for individuals/HUFs and 20 kg for trusts and similar entities

Interest rate @ 2.5%, maturity value depends on price of gold at that time

issue price is linked to the average of 3 days' price of gold of 0.999 purity (24 carat) published by India Bullion and Jewelers Association Ltd

Redemption starts 5 years and ends 8 years after issue, and payout basis prevalent price of gold at that time

Interest is taxable, although maturity value is not. Indexation for capital gains is provided on transfer in secondary market.



Debt capital market

Debt capital markets (DCM)

Extremely large

Determines money
supply and monetary
policy

Affected by interest
rates and other
specified risks

Used for diversification
and liquidity / income
flow needs

Central government is
the largest issuer of
debt

Insurance companies
(e.g., LIC) and Mutual
funds are among the
largest buyers of debt

FII's and FPI's are
restricted from investing
to an extent by
regulators

Intermediation

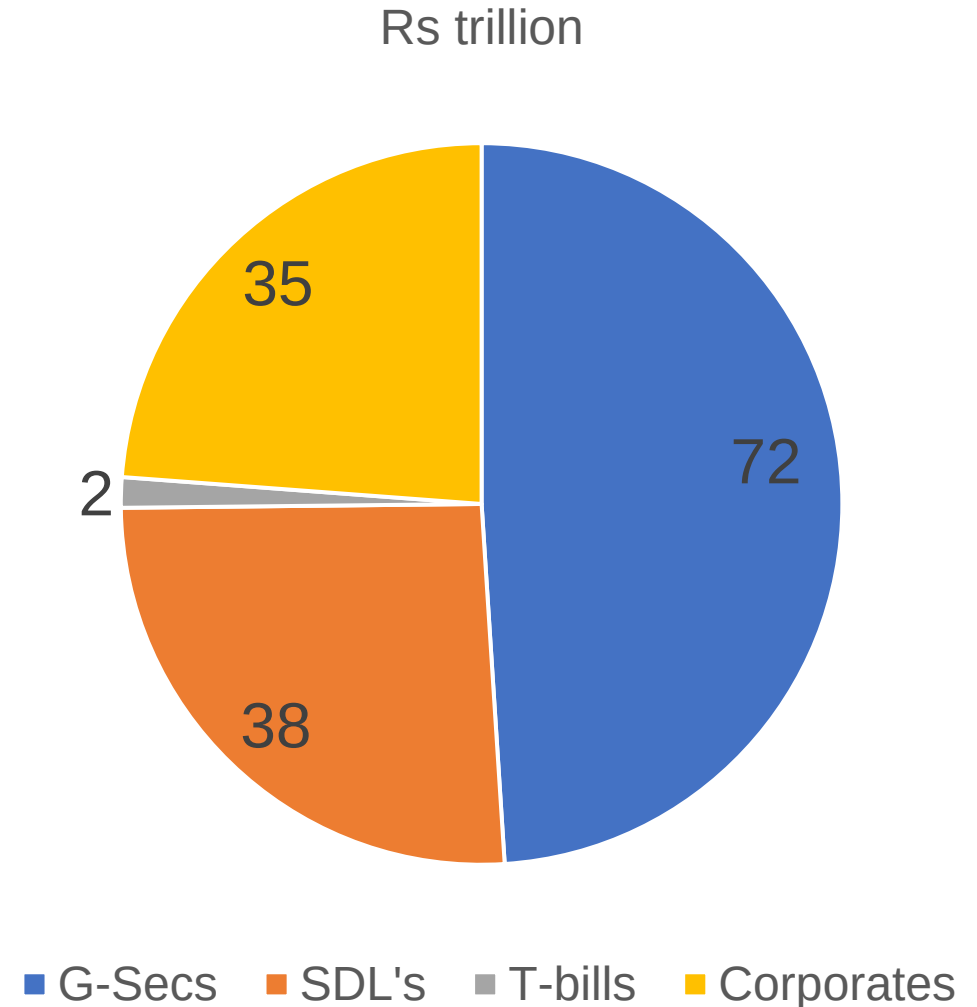
- Raise funds from retail (I.e., Banks, Insurance Co's, MF's, Corporates etc)
- Deploy (lend to borrowers)

Deployment

- Buy wholesale (e.g., lots of 5Cr) in Primary and Secondary markets
- Retail investors rarely enter secondary market

DCM: Size and composition

- Government issuers account for almost 75% of the INR 147 trillion outstanding in 2020-21
- G-Secs are used to fund the fiscal deficit, and account for about 50%
- SDL's are State Development Loans. Collectively they account for about 25%
- T-bills are money market instruments with maturity under 1 year.
- Corporate debt makes up the balance, It is estimated that this amount is roughly equal to the amount raised through equity and bank borrowing.



Government bonds

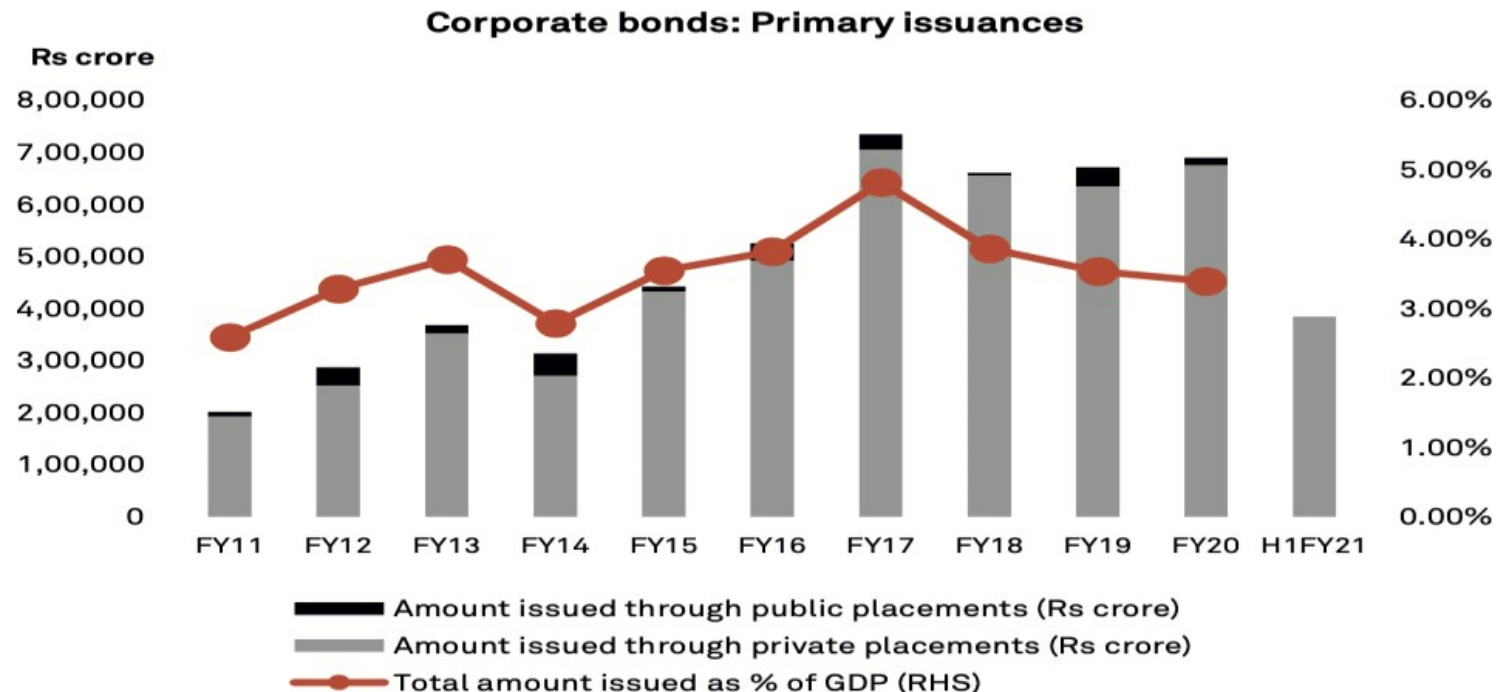
- G-Secs: Collectively refer to all govt. debt, but popularly used to refer to LT central gov. debt.

Cash Management Bills (CMB)	T-Bills	Long term: G-Secs	Long term: State Development Loan (SDL)
• Central Gov. • Since 2010 • < 91-day tenor • Used to meet temporary mismatches in the cash flow	• Central Gov. • 91, 120 and 365-day tenors • Issued below par, e.g., 91-day T-bill issued at INR 98.2 and matures at INR 100	• Central Gov. • Risk free Gilt-edged • 1-40 years tenor • Can be 1.Fixed rate 2.Floating rate 3.Special securities 4.STRIPS	• State gov. • Have an annual limit per state • Used for state projects and state fiscal deficit

Commercial banks hold most of this debt (~55% of all T-bills, and ~35% of LT debt)
Insurance Co's hold next largest amount (~25-30% of LT debt)
RBI and Provident Fund Co's hold ~15-% of LT Debt
MF's hold about 20% of T-Bills

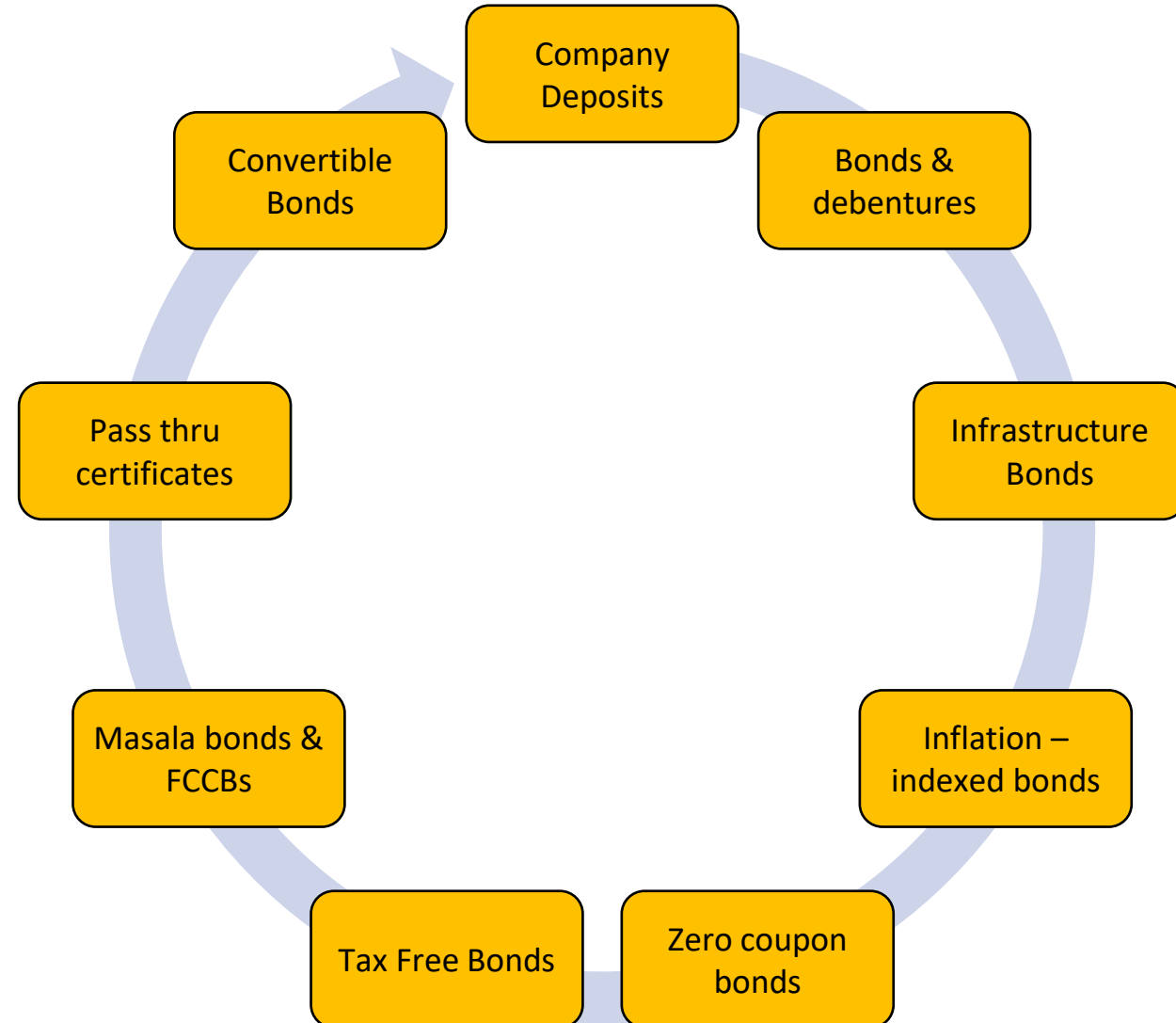
Corporate Bonds

- Corporate bonds are issued mostly through private placement as the market is wholesale in nature.
- Only a small portion is issued through public placements (estimated < 3%)
- The following chart shows the year-wise issuance of corporate bonds.



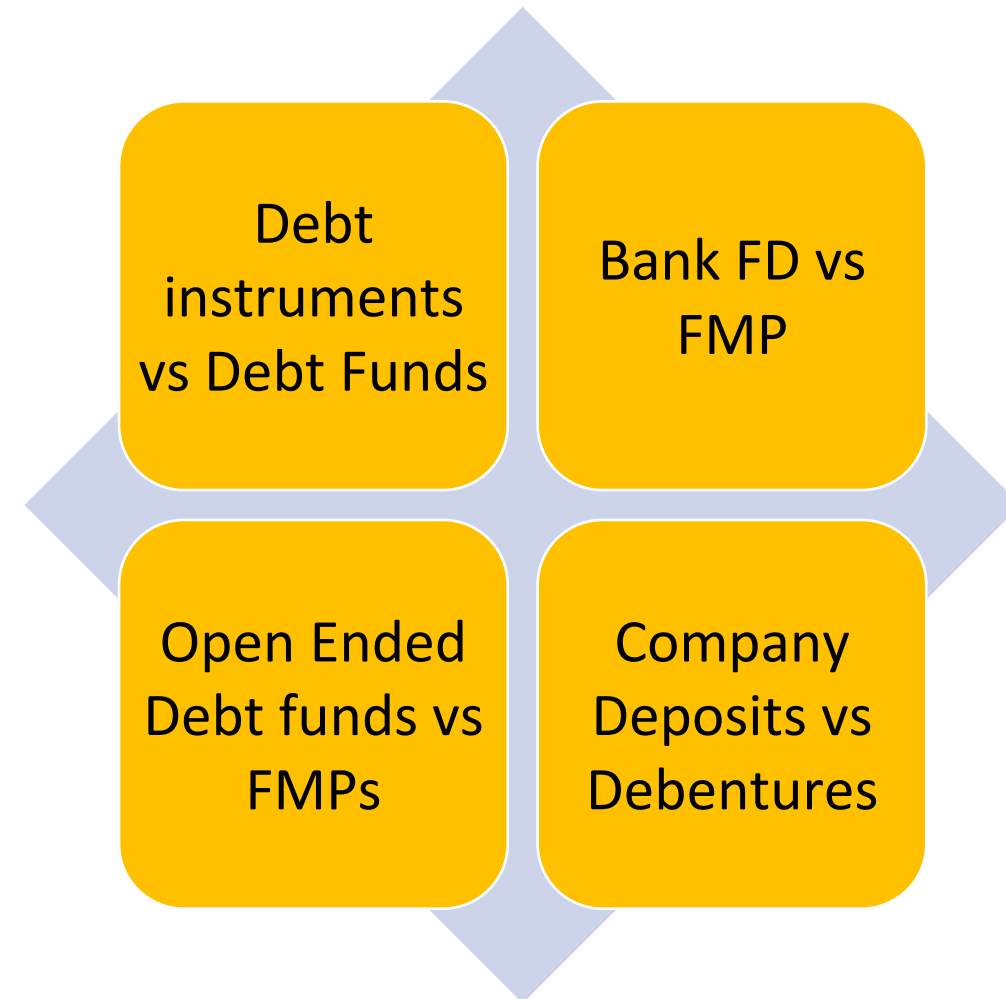
Corporate Debt Market: Supply & Demand

- growth of the corporate bond market in India is somewhat slow
- Multiple demand supply aspects to this
 - Debt demand is mostly institutional buyers
 - Government dominates the bond market
 - G-Sec interest rates can push up corporate bond prices
 - Prudential norms limit extent to which Insurance and MF's can buy corporate bonds
 - Cost of borrowing via debt instruments is relatively higher than other financing options
 - Foreign investors are constrained by regulations



Measuring effect of actively-manager bond portfolio

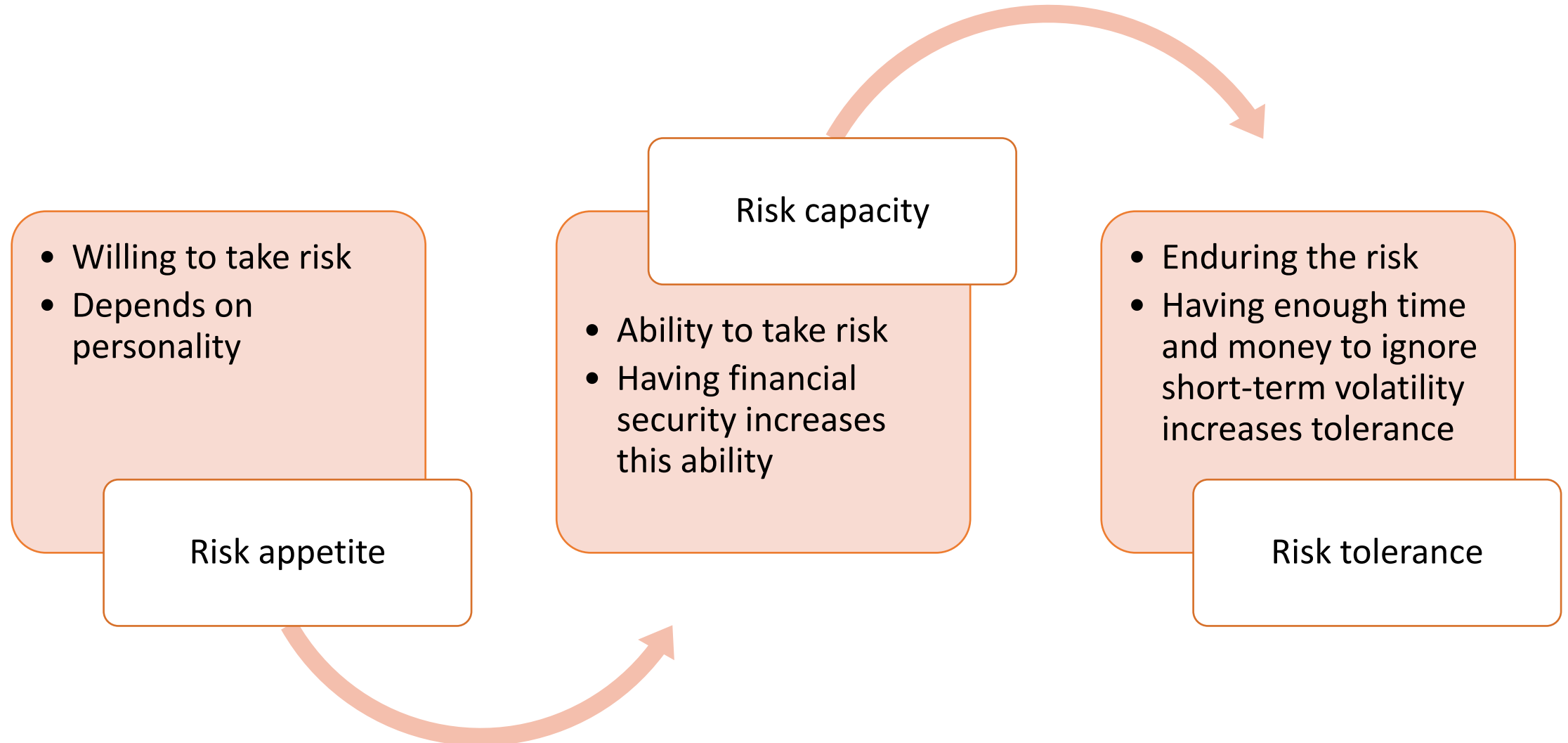
- **Active return:** the component of a portfolio's performance that arises from the fact that the portfolio is actively managed
 - There are some general rules of thumb relating to debt, for different investor goals & debt instrument pairings
1. Diversification: Mutual Funds are better than Debt instruments
 2. Hold to Maturity (HTM): Debt instruments are better than MF's
 3. Liquidity: Bank FDs are better than Fixed Maturity Plans (FMPs)
 4. Tax efficiency: FMPs are better than Bank FDs
 5. Certainty of returns: FMPs are better than Open-ended MF's
 6. Liquidity: Open-ended MF's are better than FMP's
 7. Company deposits: only buy if from leading company
 8. Debt fund of Co. debt: Preferred to company deposits





Practical aspects of client management

Aspects of a client's risk profile



Common biases to look out for

Question framing bias

- Poorly framed risk tolerance Q's can give same result for almost all clients

Overconfidence, over-optimism

- Both client and advisor can exhibit this

Discretionary spending / Retail therapy

- Excessive spending to compensate for emotional trauma

Home country bias

- People tend to discount investment options outside their own country

Over-diversification

- Diversification is a way to manage risk
- It should not be a goal by itself

Portfolio turnover

- stress can result in excessive buying selling
- Systematic approach based on goals is advised

Chasing past performance

- Don't let past results form the basis for unrealistic future expectations

Bounded Rationality

- By Herbert Simon
- Clients make acceptable decisions, rather than optimal decisions

Prospect Theory

- By Kahneman & Tversky
- Status quo affects how most clients respond to questions regards risk

Active management: Defining a benchmark

- Active management needs to be compared to a benchmark. This can be one of three options

Existing benchmark

- E.g., Sensex or ETF
- Goal is to beat this benchmark
- This meets generic characteristics of a good benchmark, i.e., free of conflict, transparent, objective pricing etc

Customised benchmark

- Advisor will construct a benchmark based on client objectives and restrictions
- It should reflect the advisor's investment style, e.g., focus on large and mid-cap etc
- Else it is unrealistic

Managers Universe benchmark

- Consists of a group of managers with similar investment styles
- Goal is to beat this benchmark
- Is inherently flawed as it only includes managers with good performance, thus does not represent average performance

Active management: Performance attribution

- Performance attribution evaluates three aspects of an actively managed portfolio

Allocation	Selection or style	Timing of decisions
• Evaluates if asset/sector allocation had a positive or negative contribution • Positive: Portfolio is overweighted with assets/sectors that outperformed the benchmark • Negative: Portfolio is overweighted with underperforming assets/sectors	• Evaluates if specific selection resulted in excess return compared to portfolio with same risk level • Positive: The specific selections (e.g. mid- and large-cap equity) outperformed benchmark return (for the same risk) • Formula: Net selectivity + return required from diversification	• Evaluates if timing of buying/selling had a positive impact • Difficult to quantify, hence less importance is given to this factor, since luck plays a large role also

- *Note: Portfolios involving foreign currency are affected by both advisor performance and exchange rate risk.*

Address few critical risks to Investing in Equities

Transactional Risk

- Transactional risk can be best explained by way of exchange rate fluctuations. It is the difference in price due to the change in exchange rate between the time the contract was entered into and its eventual settlement.
- An individual living in the United States wants to add 100 shares that are listed on the London stock exchange to his portfolio. This transaction will therefore be in pounds.
- If the price per share is £10 at the time of sale and the exchange rate at the time of sale is \$1/£0.72, the exchange value for the cost of share purchase equivalent to £1000 pounds is \$1389. However, payment does not occur at time of purchase. When payment is made the exchange rate fluctuates which results in a depreciation of the dollar to \$1/£0.65 pounds, resulting in a cost of \$1,538.

Liquidity Risk

- Liquidity risk arises when an investor is not able to sell shares quickly enough without a loss of capital or reduction in price. Buyers will not buy shares that they think will not make a profit.
- To find buyers and entice them back prices will need to drop, and this could lead to a correction in prices. Liquidity risk can also be considered specific to a company.
- The risk for the company is that the company may not be able to meet its short-term debt obligations.
- This could cause investors to sell shares increasing supply and a potential drop in share price.
- The company could go into bankruptcy which will result in a capital loss for the investor.

- **Equity reflects the underlying industry sectors.** Having a spread across the four sectors helps diversification

Industry sectors (4)

1. **Primary**: i.e., agriculture, mining
2. **Secondary**, i.e., finished products like consumer goods, durables, real estate etc
3. **Tertiary**, i.e., service providers like financial services, retail etc.
4. **Quaternary**, i.e., those provide intellectual or knowledge service, e.g., consulting, education

Individual stocks can be impacted by

1. **Economic** trends, e.g., inflation, growth rate, business cycles
2. **Seasonality** trends that affect specific sectors, e.g., agriculture
3. **Market** trends: Upswings and downswings in the stock market
4. **Company** performance

Active management: Equity analysis (buy side)

Advisor needs to look at companies from many perspectives

Staying Power

- Does the company have the necessary resources to survive an economic downturn?

Liquidity

- quick access to cash if needed, to pay obligations due in a year.

Low debt

- if the debt obligations are too high, the likelihood that company can survive the downturn decreases.

Stock price / cash per share

- if the stock price is below the cash per a share the share can be purchased for less than its actual value.

Revenue and earning

- Fundamental analysis can be used to find companies with continuing earnings and revenue growth.

Management capabilities

- Part of determining if a Co has the resource to survive an economic downturn is to look at the Human Capital

Valuation -

- Is the company itself been over valued or undervalued and how does the value compare to other companies in the same industry?

Dividend payment -

- Investing in companies that pay a dividend is a way to earn income from your investments as well as growth.

Active management: Equity analysis (sell side)

Sell side research will focus on criteria that indicate if a company could potentially be in trouble and that will result in share price and value falling. This matters when an investor is looking to sell equity.

Stalling or declining earnings or revenue growth this may indicate that the company may not have the resources to survive in an economic downturn.

Going concern -
Deteriorating financial ratios could indicate that the company may not have the ability to continue business.

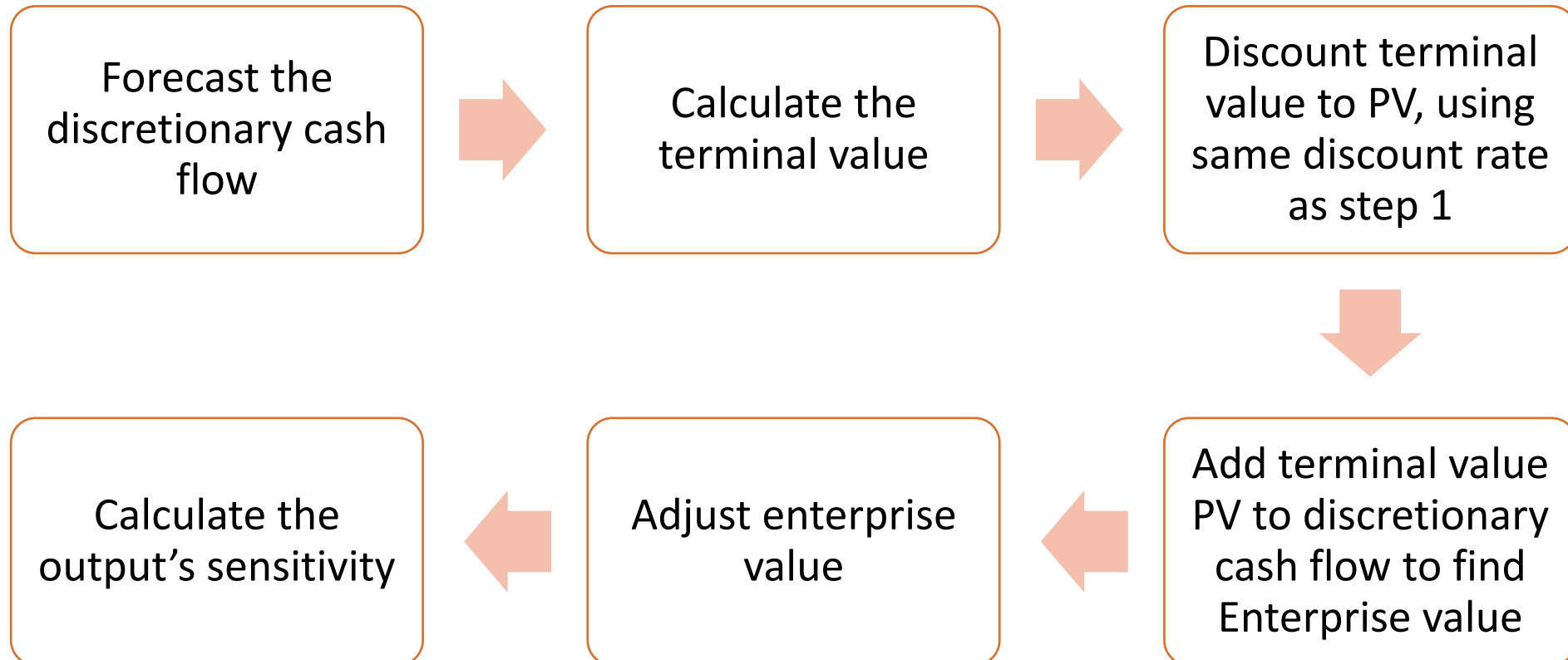
Ineffective management team and poor corporate governance - Lack of faith in management, lack of proper reporting and governance are all concerns

Overvaluation - The company's valuation declines to the extent that the share price is higher than the value of the company.

Active management: Equity analysis (DCF)

Discounted cash flow model is used to determine the intrinsic value of stock by discounting the value of future cash flows to a present value.

The DCF methodology consists of 6 steps



Active management: Equity analysis (Other models)

There are two other commonly used absolute valuation models, the residual income model, and the asset-based model.

1. **Residual income model** focuses on probability and values a business as the book value per share plus the PV of future residual income. Residual income in equity valuation is the net operating profit after tax (NOPAT) generated by a company less the companies' cost of capital. This model is like the dividend discount model where instead of dividends residual income is used. This model is useful when valuing a company that does not pay dividends and if the forecasted FCFE is expected to be negative. It is the cash available to shareholders after considering of the costs of all a company's capital.
 - $\text{Residual income} = \text{NOPAT} - (\text{C\%} \times \text{TC})$
 - NOPAT is the company's net operating profit after taxes, C% is the cost of capital, and TC is total capital.
2. **Asset-based model** is based on assets minus liabilities and looks at what the business could sell for in the current market based on net assets. The value of assets and liabilities will differ from the value reported on the balance sheet and the market value as factors such as timing and accounting for depreciation will impact the values. Another differentiating factor is net assets adjustments for assets that may not be on the balance sheet such as intangible assets as well as adjusting liabilities.

Active management: Equity analysis (Relative valuation)

It is advised that a combination of absolute valuation methods (DCF etc) and relative valuation measures be used while taking equity decisions. Using one or the other alone is not advised.

EVA

Economic value add is simply the residual profit of the organization over a period

MVA

Market value add is the value created for shareholders as a result of EVA over a period

EV/EBITDA ratio

Enterprise value divided by EBITDA, shows value relative to true earnings

EV/ Sales ratio

Enterprise value divided by sales. Can be use for companies with diverse capital structures

Dividend yield and Earnings yield

Dividend rate divided by share price. Earning per share divided by share price

Sector-specific metrics

Depend of the sector, e.g. banking will have different metrics from manufacturings

The advantages
of applying
technical analysis
are:

1. can be used for any market or instrument that has historical price and volume data
2. No need to gather information (as required by fundamental analysis)
3. A clear picture of the market's volatility and behavior is seen via charts
4. Exact time and entry and exit prices are provided
5. In case of bonds, can be used to measure market influence directly where more than one factor can affect demand or supply in opposite directions.

Active management: Fusion Investing

- **New concept (2003-2007)** that supports actively managed portfolios.
- Uses 3 approaches to exploit price abnormality

Value approach

1. **Value shares are identified** as those having low Price to Earnings (P/E), low Price to Book (P/B) and low Price to cash Flow (P/CF).
2. These **usually outperform** the market relative to shares that have higher multiple

Fundamental approach

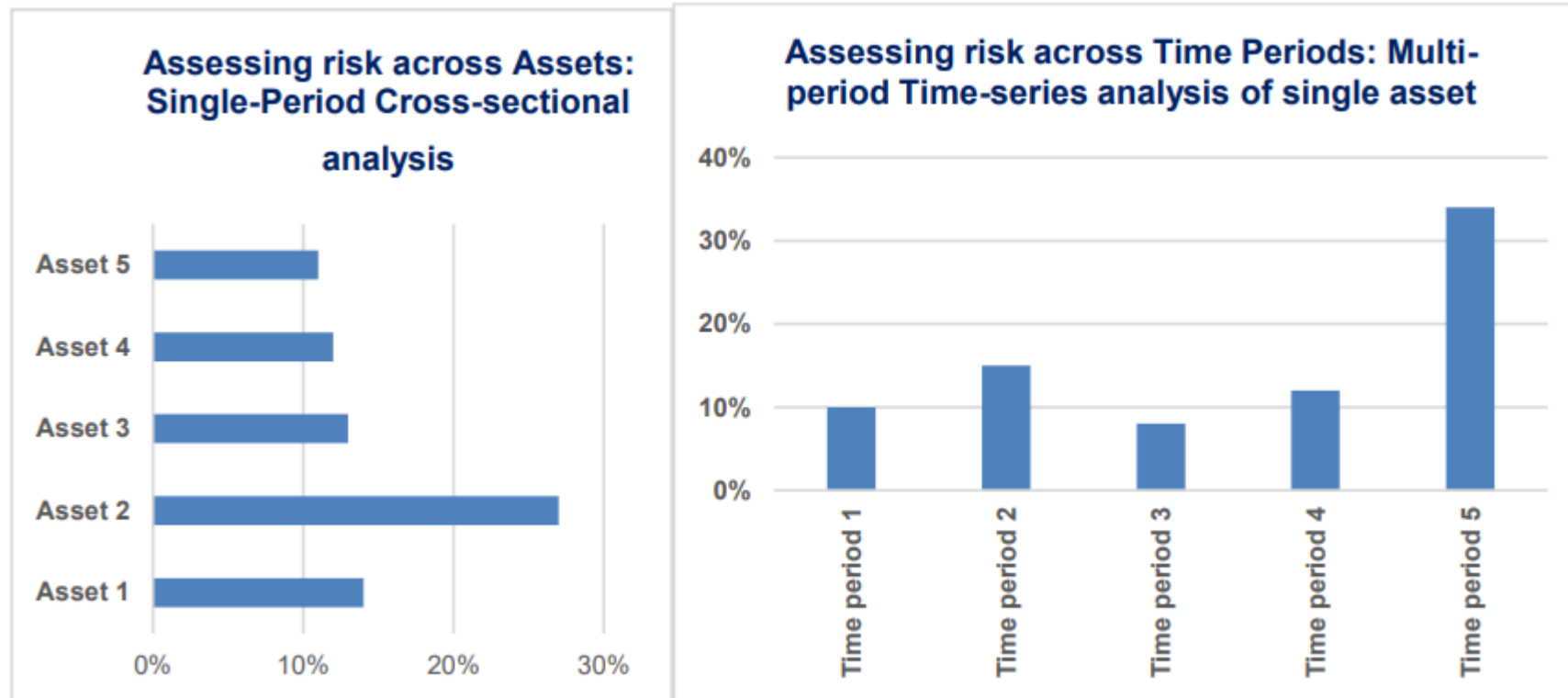
1. identify shares whose **current prices lag their values** ascertained by earnings forecasts and accounting-based valuation models.

Momentum approach

- continuing to profit from the **direction of prior stock returns** by using the relative strength trading strategy, i.e., buying past winners and selling past losers for a significant but short holding periods.

Active management: Cross-sectional v time-series risk

- Most portfolio managers will look at risk at a **cross-section level** (image 1 below). This results in portfolio risk balancing between assets (in this case asset 2)
- **Time-series risk management** looks at risk from an asset over time (image 2 below). This shows that the asset under observation (e.g., asset 1) has high risk only in year 5 (can be due to various reasons) and needs to be addressed.



(source: <https://www.janushenderson.com/en-us/institutional/article/adaptive-asset-allocation/>)

Active management: Mandated standards for MF's

- The following are some of the standards of service imposed by SEBI and AMFI

Nature of Regulation	SEBI Mandated	Industry Compliance
Dispatch certificates or SoA	5 working days	2-3 working days
Dispatch to the unitholders the dividend warrants	30 days from dividend declaration date	7 working days
Dispatch of redemption or repurchase proceeds	10 working days	2 working days

- NAV:** To be posted on MF's and AMFI's websites daily
- Results:** To be posted half-yearly, showing performance over last 6 months, 1, 3 and 5 years and since inception
- Costs:** MF expenses are to be posted in the same half-yearly reports
- Annual reports:** To be sent to investors annually
- Cutoffs** for subscribing / redeeming MF units
 - Liquid:** If subscribed to before 2.00 PM, in most cases **previous-day** closing NAV is applied. For redemption received before 3.00 PM, **same day** NAV is applied.
 - Other than Liquid:** If subscribed to before 3.00 PM, in most cases **same-day** closing NAV is applied. For redemption received before 3.00 PM, **same-day** NAV is applied.

Active management: Reducing client debt

- Three techniques can be used to reduce debt burden of client

Avalanche

1. Pay off debt with highest interest rate first
2. Then pay debt with next highest rate of interest

Snowball

1. Pay the smallest debt amount first (i.e., that has the smallest principal outstanding), irrespective of the interest rate
2. Then pay the next smallest debt

Blizzard

- First snowball (clear smallest debt amount)
- Then avalanche (clear debt with highest interest rate)
- Repeat this pattern for remaining debt

Active management: Common comparisons

- An advisor should be able to compare and advise between the following combinations based on Fiduciary Duty approach

MFs v PMS v AIF

Equity v Equity MF

Equity MF
portfolio (actively
managed) v Index
Fund

ETF's v Index
Funds

MFs v ULIPs

ELSS v Other tax
saving options